

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

HANGZHOU QIANWANG DRESS CO., LTD.,
Complainant

v.

RDD FREIGHT INTERNATIONAL INC., *Respondent*.

DOCKET NO. 17-02

Served: November 7, 2019

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION ON REMAND¹

I. INTRODUCTION

A. Overview and Summary of Decision

This is a dispute between a garment manufacturer and an ocean transportation intermediary. Complainant Hangzhou Qianwang Dress Co., Ltd. (“Hangzhou Qianwang”) alleges that Respondent RDD Freight International Inc. (“RDD” or “RDD Freight”) released cargo in three separate shipments to the consignee without obtaining original bills of lading in violation of the Shipping Act of 1984 (“Shipping Act”). RDD Freight denies the allegations.

On August 29, 2018, an initial decision was issued in this proceeding finding that RDD Freight violated section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) by releasing cargo to the consignee without requiring presentation of original bills of lading and awarding reparations to Hangzhou Qianwang. *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, 1 F.M.C.2d 158 (ALJ 2018) (“Initial decision” or “I.D.”).

After the initial decision was issued, the Commission promulgated an interpretive rule on the scope of section 41102(c), stating that it “is revising its interpretation of the scope of the Shipping Act prohibition against failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property” to require “that a regulated entity engage in a practice or regulation on a *normal*, *customary*, and *continuous* basis.” Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed.

¹ This initial decision on remand will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

Reg. 64478, 64479 (Dec. 17, 2018) (“Final Rule”); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 45367-45372 (Sept. 7, 2018) (“NPRM”).

On March 7, 2019, the Commission issued an order vacating the initial decision and remanding this proceeding “for consideration of the § 41102(c) claims in light of the Commission’s revised interpretation.” *Hangzhou Qianwang Dress Co., Ltd., v. RDD Freight International Inc.*, 1 F.M.C.2d 262 (FMC 2019) (Order Vacating and Remanding Initial Decision) (“Remand order”). This initial decision on remand rules on issues addressed in the initial decision as well as issues raised by the Commission’s remand.

The Commission’s interpretive rule adds an element that was not considered in the initial decision. Although Hangzhou Qianwang establishes the other elements required for a section 41102(c) violation, it is unable to establish this new element – that the conduct in question occurred on a normal, customary, and continuous basis. As explained more fully below, the complaint must therefore be dismissed.

B. Background

1. Initial Filings

This proceeding began with a complaint filed on February 17, 2017. The complaint included the invoice, packing list, and bills of lading for the three shipments at issue. On March 2, 2017, the notice of filing of complaint and assignment was issued. On March 24, 2017, Respondent filed an answer denying the allegations in the complaint and including a counterclaim. On April 27, 2017, a telephone conference was held. On April 28, 2017, Complainant filed a response to the counterclaim by letter.

On August 23, 2017, an amended complaint was filed in partial response to a show cause order. On October 11, 2017, an order was issued discharging the show cause order and establishing a schedule. The schedule required the completion of all discovery by December 22, 2017. In January 2018, both parties filed motions to compel responses to discovery.

On February 1, 2018, an order compelling responses to discovery was issued, noting that “neither party has fulfilled its discovery obligations.” The February 1, 2018, order required additional discovery to be filed, vacated the scheduling order, and required the parties to appear at a telephone conference. Telephone conferences were held on March 15, 2018, and March 21, 2018. On March 21, 2018, an order was issued permitting Respondent to file a motion to compel.

On April 6, 2018, Respondent filed a motion to compel discovery from Complainant. On May 30, 2018, the motion to compel was granted in part and denied in part; discovery was completed; and the parties were ordered to present their cases through written briefs, with Complainant’s filings due on June 29, 2018; Respondent’s opposition due July 30, 2018; and Complainant’s reply due on August 14, 2018.

On June 20, 2018, Complainant filed a motion to add supplemental evidence. On July 28, 2018, Respondent filed a cross-motion to supplement the record. Both motions, which were unopposed, were granted.

On June 29, 2018, Complainant filed its brief, proposed findings of fact, and an appendix.² On July 28, 2018, Respondent filed its opposition brief, proposed findings of fact, response to Complainant's proposed findings of fact, appendix of exhibits, and cross-motion to supplement the record. A notice regarding filing issued July 30, 2018, noted that Respondent's brief was labeled as a "Brief in Opposition to Complainant's Motion for Summary Judgment and in Support of RDD's Cross-motion for Summary Judgment" although it appeared that no motion for summary judgment had been filed and if that was the case, that "the brief will be treated as a brief on the merits as required by the scheduling order." Notice Regarding Filing at 1. The parties did not respond to the notice. Accordingly, the briefs filed by Complainant and Respondent were accepted as briefs on the merits.

Complainant did not file a reply brief or response to RDD Freight's proposed findings of fact. In an email exchange with the Respondent and this office, Complainant requested an extension to which Respondent objected. Complainant was advised by this office that an extension would need to be requested by a properly filed motion demonstrating good cause. No such motion was received from the *pro se* Complainant.

2. Initial Decision

On August 29, 2018, the initial decision was issued finding that RDD Freight had violated section 41102(c) of the Shipping Act by releasing three separate shipments to the consignee without obtaining the original bills of lading for the shipments and awarding Hangzhou Qianwang reparations of \$61,704 plus interest. I.D. at 17, 1 F.M.C.2d 158, 173 (ALJ 2018). The initial decision stated:

The facts of this case are very similar to the facts presented in *Bimsha*, where the [non-vessel-operating common carrier ("NVOCC")] Chief Cargo released shipper Bimsha's cargo to the notify party without requiring the presentation of an original bill of lading three times in three months. *Bimsha Int'l v. Chief Cargo*

² References to the record treat the pages as sequentially numbered and are abbreviated as:

- CBrief – Complainant's brief
- CFF – Complainant's proposed findings of fact
- CApp – Complainant's appendix
- RBrief – Respondent's opposition brief
- RFF – Respondent's proposed findings of fact
- RRFF – Respondent's response to Complainant's proposed findings of fact
- RApp – Respondent's appendix

Services, Inc. and Kaiser Apparel, Inc., 32 S.R.R. 353 (ALJ 2011), *aff'd* 32 S.R.R. 1861 (FMC 2013) (“*FMC Bimsha*”), *aff'd sub nom. Chief Cargo Serv. v. Federal Maritime Commission*, 586 Fed. Appx. 730 (2nd Cir. 2014) (“*2nd Cir. Bimsha*”).

The Administrative Law Judge in *Bimsha* found that the “failure by Chief Cargo to establish the practice of requiring an original bill of lading before releasing the cargo was a failure to *establish* just and reasonable practices, and a violation. Alternatively, if Chief Cargo had established the practice of requiring an original bill of lading, then by failing to *observe and enforce* the practice would be a violation of the Act.” *FMC Bimsha*, 32 S.R.R. at 1864. The Commission affirmed the ALJ’s decision, stating that it “has indeed recognized that NVOCCs violate section 10(d)(1) when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice.” *FMC Bimsha*, 32 S.R.R. at 1866. The Commission relied on a long line of Commission cases to find that failing to fulfill NVOCC obligations violates the Shipping Act regardless of the number of shipments involved. *FMC Bimsha*, 32 S.R.R. at 1866-67. The Second Circuit Court of Appeals affirmed the Commission’s decision. *2nd Cir. Bimsha*, 686 Fed. Appx. at 732.

In this case, Respondent has not submitted any evidence that it established regulations or practices regarding delivering and releasing cargo. If Respondent had such regulations or practices, they were not observed or enforced. RDD’s employee accepted the statement of the consignee about releasing the cargo without confirming with the Complainant or requiring an original bill [of] lading. There is no mention in the employee’s statement of any corporate regulations or practices to ensure proper delivery of cargo.

The parties are entitled to rely on settled Commission precedent in determining whether to undertake the time and expense of filing a complaint before the Commission. For three separate shipments, RDD Freight violated section 41102(c) of the Shipping Act by releasing cargo to the consignee without receiving an original bill of lading. Given the nearly identical fact patterns between *Bimsha* and this proceeding, justice requires that the outcome be equivalent. Accordingly, the evidence shows that Respondent violated section 41102(c) of the Shipping Act.

I.D. at 12-13, 1 F.M.C.2d at 168.

3. Commission’s Interpretive Rule Revising the Elements Required for a Section 41102(c) Violation

On September 7, 2018, the Commission issued a notice of proposed rulemaking “to obtain public comments on clarification and guidance regarding the Commission’s interpretation

of the scope of 46 U.S.C. 41102(c) (section 10(d)(1) of the Shipping Act of 1984).” NPRM, 83 FR 45367. In the notice of proposed rulemaking, the Commission stated *inter alia*:

Specifically, the Commission is considering an interpretive rule consistent with Commission precedent . . . that would restore the scope of § 41102(c) to prohibiting unjust and unreasonable *practices* and *regulations*. These decisions require that a regulated entity engage in a practice or regulation on a *normal, customary, and continuous* basis and a finding that such practice or regulation is unjust or unreasonable to violate that section of the Shipping Act.

NPRM, 83 FR at 45368 (emphasis in original, internal citations omitted).

On December 17, 2018, the Commission issued a final rule adopting the September 7, 2018, notice of proposed rulemaking without change. Final Rule, 83 FR 64478. New Rule 545.4, states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

4. Commission Remand Order

On March 7, 2019, the Commission issued the remand order in this proceeding. The Commission stated:

[The initial decision’s] interpretation of § 41102(c), however, insofar as it holds that discrete conduct with respect to a single shipment may constitute a violation of the statute, runs contrary to the original intent of Congress, the rules of statutory construction, and Commission precedent. *See, e.g.*, Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17,

2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 45367-45372 (Sept. 7, 2018).

Properly interpreted, and consistent with pre-2010 Commission precedent, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis. 83 Fed. Reg. at 64479; 83 Fed. Reg. at 45369-70, 45372; *see also* 46 C.F.R. § 545.4(b). Here, while the ALJ noted that Respondent released cargo without receiving an original bill of lading “[f]or three separate shipments” ALJ I.D. at 13, the ALJ did not consider whether Respondent’s conduct occurred on a normal, customary, and continuous basis.

Consequently, the Commission **VACATES** the Initial Decision and **REMANDS** this matter to the ALJ for consideration of the § 41102(c) claims in light of the Commission’s revised interpretation.

Remand Order at 1-2, 1 F.M.C.2d at 262-63.

On March 26, 2019, an order was issued requiring the parties to meet and confer by April 17, 2019, and to file by April 26, 2019, a joint status report (“JSR”) stating whether additional discovery would be required and if so, to “exchange relevant documents in a timely fashion,” and discuss when voluntary disclosures could be made. Order Requiring JSR at 1-2. The parties were also advised that they would be given an opportunity after completion of discovery to file briefs “focus[ing] on the legal and factual issues necessary to establish that the alleged violation occurred on a normal, customary, and continuous basis.” Order Requiring JSR at 2. The parties were instructed to include a proposed schedule for the submission of their remand briefs in the joint status report. Order Requiring JSR at 2.

Complainant filed a letter dated April 11, 2019, in response to the order requiring a joint status report (“Complainant’s Remand Status Report”). Respondent similarly filed a letter on April 30, 2019, in response (“Respondent’s Remand Status Report”). The parties did not request further discovery, nor did they provide a proposed schedule for additional briefing.

On May 15, 2019, a remand briefing schedule was issued instructing the parties to file any additional evidence with Complainant’s remand brief or Respondent’s remand opposition brief. Remand Briefing Schedule at 1. The schedule further noted that “[a]s the person who filed this complaint, Complainant has the burden of proof and will need to establish that any alleged section 41102(c) violation occurred on a normal, customary, and continuous basis or otherwise address the Commission’s interpretive rule.” Remand Briefing Schedule at 2.

On May 29, 2019, Hangzhou Qianwang filed another letter, with exhibits attached (“Complainant’s Remand Brief”). No submission was received from Respondent and the deadline to file briefs has passed. Although letters are disfavored in Commission proceedings, these letters will be accepted to avoid the additional time and expense of revised filings.

C. Arguments of the Parties

Complainant alleges that:

Defendant, in releasing the goods to the consignee before it had received the original Bill of Lading and permission from Plaintiff to release, violated the Shipping Act and its implementing regulations, in particular, 46 U.S.C. 41102(c), in that it “fail[ed] to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

CBrief at 2. Complainant asserts that as a direct consequence of Respondent’s violation, Complainant sustained damages of \$134,207.70 which, after a settlement received in a related case in China, is reduced by Complainant to \$72,503.70. CBrief at 2. Complainant contends that Respondent violated section 41102(c) even under the interpretive rule, stating:

Their action of releasing our containers on 3 separate occasions indicates that RDD Freight International releases freight without original Bill of Ladings on a regular basis. Attached are the 3 containers of ours that were released 3 separate times in the month of September and October 2016. They were not released together as a group which would indicate 1 action. They were released separately, 3 separate times. Although we have no access to their books and records, there is nothing to indicate they have not done it for other clients past and present. . . .

The fact that they released three of our shipments on different dates from different vessels without our knowledge should speak for itself.

Complainant’s Remand Brief at 1.

Respondent asserts that Complainant seeks to recover the value of the goods in question from Respondent RDD Freight but not from the consignee, SWAK Kids; that RDD Freight’s employee was “defrauded and misled into releasing the goods to the said consignee – in a good faith and bona fide effort to save the \$450.00 per day demurrage;” and that Complainant settled its claims in a proceeding in China. RBrief at 1-2. Respondent further asserts that Complainant “has the prima facie burden of proving that the alleged violation committed by RDD ‘occurred on a normal, customary and continuous basis’ under the new interpretive Rules.” Respondent’s Remand Status Report at 1.

D. Evidence

Under the Administrative Procedure Act (“APA”), an Administrative Law Judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision on

remand is based on the pleadings, exhibits, letter briefs, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision on remand addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations of the complaint or the defenses thereto. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Specific findings of fact are in section two, prior to the analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT³

1. Complainant Hangzhou Qianwang Dress Co., Ltd. manufactures apparel, including hats and gloves, which it sells to retailers in the United States. CFF at 2; RRFF at 1.
2. Respondent RDD Freight International Inc. is an NVOCC and international freight forwarder with an ocean transportation intermediary license issued by the Federal Maritime Commission. RApp at 2 (Exhibit 1).
3. Complainant and Respondent entered into an agreement in which Respondent agreed to transport apparel from China to New York for Complainant. CFF at 2; RRFF at 1.
4. Respondent contracted with the Complainant for transportation of the goods in question and RDD Freight issued three ocean bills of lading for the shipments: MBE 16081082; MBE 16081477; and MBE 16091121. CApp at 4, 8, 12; RFF at 1.
5. The invoice and packing list for the first shipment, for 947 ctns, are dated Aug. 22, 2016, and show a sale from Hangzhou Qianwang Dress Co., Ltd. to SWAK Kids Inc. for \$57,273.48. CApp at 2-3.
6. The bill of lading for the first shipment, MBE 16081082, is dated Aug. 25, 2016; lists the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc. and the forwarding agent as RDD Freight International Inc.; and lists the port of loadings as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY. CApp at 4.

³ The parties did not submit any new evidence, therefore, the findings of fact in this initial decision on remand remain the same as those in the initial decision.

7. Both Complainant and Respondent submitted copies of the bills of lading. For the first shipment, the Complainant's copy of the bill of lading states "FREIGHT PREPAID," CApp at 4, while the Respondent's copy of the bill of lading states "FREIGHT COLLECT," RApp at 7 (Exhibit 3). In other respects, the bills of lading are identical.
8. The invoice and packing list for the second shipment, for 1095 ctns, are dated Aug. 28, 2016, and show a sale from Hangzhou Qianwang Dress Co., Ltd. to SWAK Kids Inc. for \$54,137.40. CApp at 6-7.
9. The bill of lading for the second shipment, MBE 16081477, is dated Aug. 31, 2016; lists the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc., and the forwarding agent as RDD Freight International Inc.; lists the port of loadings as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY; and states "freight collect." CApp at 8 (all caps omitted).
10. The invoice and packing list for the third shipment, for 579 ctns, are dated Fed. 13, 2016, and show a sale from Hangzhou Qianwang Dress Co., Ltd. to SWAK Kids Inc. for \$22,796.82. CApp at 10-11.
11. The bill of lading for the third shipment, MBE 16091121, is dated Sep. 15, 2016; lists the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc., and the forwarding agent as RDD Freight International Inc.; lists the port of loadings as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY; and states "freight collect." CApp at 12 (all caps omitted).
12. RDD Freight released all three cargo shipments to the consignee, SWAK Kids, without obtaining an original bill of lading or Complainant's consent to release. CApp at 14.
13. For house bill of lading number 16081082, the master bill of lading number is YMLU E232080146. CApp at 14.
14. For house bill of lading number 16081477, the master bill of lading number is KKLUNB3701194. CApp at 14.
15. For house bill of lading number 16091121, the master bill of lading number is YMLU E232081075. CApp at 14.
16. A November 21, 2016, email indicated the value of the containers as follows:

E232080146	:	USD57273
KKLUNB3701194	:	USD53338
E232081075	:	USD22797

CApp at 16.

17. A November 22, 2016, email from the shipper Echo states "I call the buyer today he said he need 18 months to pay off it, it's really crazy, it kill all my business." CApp at 17.
18. An email dated November 28, 2016, from RDD Fright employee Yiwen Hu, states:

Today, we talked to the shipper, ECHO and explained to him our sincere apology for this mistake of the release of those containers. We will keep tracking with the consignee till all the payments are paid to the shipper. He also met the consignee as he said and he also said he got stuck and how to arrange the 2 containers that are ready to ship. We told him we did not mind to let him file the law suit against us and then we can put the consignee into the court as the defendant as well. . . .

In the meantime, we told him to keep shipping through us for the containers as we need his help in order for him to work with us together to get this problem resolved. We will meet the consignee tomorrow and then we will talk to the shipper again for the solution. At this moment, we want the shipper to work with us is to ship the 2 containers through you/us again, we will hold because we will tell the consignee that we make the payments to the shipper for the last 3 containers and then we have the absolute right to hold later arriving containers. This is what are thinking at this time and have not told the shipper yet. Also we see tomorrow how the shipper wants to solve this problem. Then we can know what we will do next.

CApp at 18.

19. An email dated March 23, 2017, from RDD Freight employee Sangy Nutsuk, on RDD Freight letterhead states:

Please find attached e-mails that pertain to correspondence between RDD & S.W.A.K KIDS Inc. to prove the consignee begged us to release. Above Cargo was released because Victor of S.W.A.K Indicated he had spoken with Shipper regarding payment. Victor also mentioned that he had taken care of payment with shipper and has known them for over 15 years and tricked me into thinking and believed that he was trust worthy base on previous shipment never missed payment to us, and he confirmed it will be no problem in releasing cargo. I also threatened force over the phone from him by shouted and yelled to get his cargo released from terminal so they wouldn't have to pay approximately \$450 per day in demurrage charges. I released a container on three different occasions based on above. Victor created the problem with his words, and lies that he did contacted and cleared with shipper. When I mentioned victor over the phone to clear with his shipper he shout back to me that (this is not your

problem just released the cargo because I sent you money already) that's the reason why I released cargo to him. And later I found out he did not get the telex released because he failed to make the payment to shipper.

Shipper should to correct money from VICTOR not us, we are just the victim and 3rd person just released cargo with payment customer paid to us. I never have known conversation or agreement between customer and their own shipper at all.

****Shipper should deal with S.W.A.K for outstanding payment and not get RDD involved. RDD spoke with S.W.A.K and they were going to make partial payments but shipper did not want this. ****

RApp at 16 (Exhibit 6) (emphasis omitted); *see also* RApp at 14 (Exhibit 5).

20. The Complainant seeks to recover the invoice value of the goods in question – from RDD Freight but not from SWAK Kids, the designated consignee. RFF at 1.
21. While waiting for the Complainant's instructions, RDD Freight's employee released the goods to the said consignee and stated that it was a good faith and bona fide effort to save the \$450.00 per day demurrage for the said consignee. RFF at 2; RApp at 14-16 (Exhibits 5-6).
22. The consignee SWAK Kids, after paying the Complainant the sum of \$10,000, has failed to pay the balance of \$123,408.00. RFF at 2.
23. A screenshot of Microsoft word properties, or digital signature, for the document labeled "Hangzhou2018" lists the title as "Kid Apparel Club" which Respondent argues is the same as the consignee SWAK Kids, as well as listing the "Content created" as "1/7/2018" and "Last printed" as "6/28/17." RFF at 2; RApp at 17-18 (second document labeled Exhibit 6).
24. On or about May 17, 2018, while this case was pending, a related case in China was settled and RDD Freight paid \$61,704, representing half of the claim, to Complainant. CFF at 4; RREF at 2; RFF at 2.
25. Complainant describes the settlement agreement:

Because the agent of RDD Freight Int'l, Inc. at the port of destination released goods without B/L, which resulted the loss of us in amount of USD123408, we had started a lawsuit against Zhejiang Handsome International Logistics Co., Ltd. in Ningbo and then settled with them through the court on one condition, which is RDD gives us an one-time compensation of 50% of our loss, which means 61704 US dollars in total. Now we confirm that we have received the above compensation from

RDD on May []th 2018, and will withdraw the aforementioned lawsuit against Zhejiang Handsome International Logistics Co., Ltd. in Ningbo Maritime Court within 3 days.

CApp at 22.

26. The settlement agreement, as provided by Respondent, states in relevant part:

Upon completion of performing Articles 1 through 3, all disputes over the released goods without paper under Bills of Lading KKLUN3701194, E232080146, E232081479 relating to the Carriage of Goods by Sea Contract between Party B [RDD Freight] and Party C [Hangzhou Qianwang], and the Marine Agency Contract between Party A [Zhejiang Handsome Int'l Logistics Co.] and Party C [Hangzhou Qianwang] shall be settled once and for all; and there shall be no disputes among the three Parties A, B and C [Zhejiang Handsome, RDD Freight, and Hangzhou Qianwang].

RApp at 23 (Exhibit 7).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that “A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 997-99 (FMC 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co.*, 28 S.R.R. 1635, 1645 (FMC 2000). Complainant alleges a violation of the Shipping Act within the Commission’s jurisdiction. Although the Respondent raised lack of personal or subject matter jurisdiction in their answer, they have not made any arguments regarding jurisdiction.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act. 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.203; *Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi River*, 29 S.R.R. 718, 718-19 (ALJ 2001). “[A]s of 1946 the ordinary meaning of burden of proof was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Dir.*,

Office of Workers' Comp. Programs v. Greenwich Collieries, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. When the evidence is evenly balanced, the party with the burden of persuasion must lose. *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman S.S. Corp. v. General Foundries Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

B. Legal Analysis

1. Section 41102(c) Elements

Section 41102(c), formerly section 10(d)(1), provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

a. Respondent Operated as an Ocean Transportation Intermediary

Because section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it, an entity must be a common carrier, marine terminal operator, or an ocean transportation intermediary within the meaning of the Shipping Act. There is no claim that RDD Freight acted as a marine terminal operator or a vessel-operating common carrier. Therefore, as part of proving that Respondent violated section 41102(c), Hangzhou Qianwang must prove that RDD Freight operated as an ocean transportation intermediary on these shipments.

The Shipping Act defines two types of ocean transportation intermediaries: ocean freight forwarders and non-vessel-operating common carriers. 46 U.S.C. § 40102(20). “The term ‘ocean freight forwarder’ means a person that – (A) in the United States, *dispatches shipments from the United States* via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19) (emphasis added).

“The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). To be an NVOCC on a particular shipment, an entity must meet the Shipping Act’s definition of “common carrier” on the shipment.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes

responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The evidence demonstrates that RDD Freight is licensed by the Commission as an NVOCC. Hangzhou Qianwang established that RDD Freight issued three bills of lading for the shipments: MBE 16081082, MBE 16081477, and MBE 16091121. All three shipments were transported by water from Ningbo, China, to the United States. All three RDD Freight bills of lading list the shipper as Hangzhou Qianwang Dress Co., Ltd., the consignee as SWAK Kids Inc., and the forwarding agent as RDD Freight International Inc.; and list the port of loading as Ningbo, the port of discharge as New York, NY, and the place of delivery as New York, NY. CApp at 4. The evidence supports a finding that RDD Freight, an entity licensed by the Commission as an NVOCC, held itself out as a common carrier, and assumed responsibility for the transportation by water from Ningbo to the United States for the three shipments at issue. Therefore, RDD Freight operated as an NVOCC – a type of ocean transportation intermediary – for the transportation of the three shipments, a required element to demonstrate a section 41102(c) violation.

b. Complainant Fails to Establish that Respondent’s Release of Cargo Without Obtaining Original Bills of Lading Occurred on a Normal, Customary, and Continuous Basis

In explaining what constitutes “regulations and practice,” the Commission stated in the final rule adopting the interpretive rule:

In drafting the 1916 Act, and through its revisions and reenactment in 1984, Congress chose the word ‘practice’ and the phrase, ‘establish, observe, and enforce just and reasonable regulations and practices,’ to describe actions or omissions engaged in on a normal, customary, and continuous basis. From its origin and as recently as 2001, § 41102(c) was interpreted in line with this understanding. To find a violation of § 41102(c), the Commission consistently required that the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business. This understanding as to what constitutes ‘regulations and practice’ under the Shipping Act is supported by multiple accepted rules of statutory construction.

Final Rule, 83 FR at 64479 (internal citations omitted).

Hangzhou Qianwang contends that RDD Freight’s “action of releasing our containers on 3 separate occasions indicates that RDD Freight International releases freight without original

Bill of Ladings on a regular basis,” and that “[a]lthough we have no access to their books and records, there is nothing to indicate they have not done it for other clients past and present.” Complainant’s Remand Brief at 1.

As the entity who filed this complaint, Hangzhou Qianwang has the burden to establish that the unjust and unreasonable acts in question occurred on a normal, customary, and continuous basis and thus was a “regulation or practice” by RDD Freight. However, the record does not support a finding that RDD “releases freight without original bills of ladings on a regular basis,” as alleged by Hangzhou Qianwang. The evidence shows that Hangzhou Qianwang entered into a contract with RDD Freight calling for RDD Freight to transport cargo to an identified consignee in three separate shipments and that RDD Freight unjustly and unreasonably delivered the cargo to that consignee without obtaining the original bills of lading for the cargo or Hangzhou Qianwang’s permission to do so. As such, the evidence solely demonstrates unjust and unreasonable actions by RDD Freight with regard to the delivery of the cargo in these three shipments, not unjust and unreasonable acts on other occasions involving different transportation agreements, shippers, or consignees. Thus, the evidence of unjust and unreasonable acts by RDD does not rise to a level constituting a “regulation and practice” as described by the Commission.

Hangzhou Qianwang’s speculation that RDD Freight may have acted similarly with regard to “other clients past and present” does not suffice as proof that RDD Freight engaged in the conduct on a normal, customary, and continuous basis. The parties were given an opportunity to conduct discovery but declined to do so. There is no evidence of other instances in which cargo was released without the original bill of lading or consent of the shipper. Although there is not a specific number of violations required, in this case, Hangzhou Qianwang has not established that there was a practice as opposed to an incident limited to these particular shipments between this shipper and this consignee. In addition, there is no evidence that the practice continued once RDD Freight was alerted to the problem. Therefore, the evidence of record does not support a finding that the unjust and unreasonable acts by RDD Freight extended beyond the transportation at issue in this proceeding. Accordingly, Hangzhou Qianwang fails to meet its burden of proof to demonstrate that the unjust and unreasonable acts by RDD Freight occurred on a normal, customary, and continuous basis, a prerequisite for a successful claim for reparations under the new section 41102(c) interpretive rule. 46 C.F.R. § 545.4; Final Rule, 83 FR at 64479.

**c. Release of Cargo Without Obtaining Original Bills of Lading
Relates to and is Connected with Receiving, Handling, Storing,
or Delivering Property**

The evidence shows that Hangzhou Qianwang and RDD Freight entered into an agreement in which RDD Freight agreed to transport goods from China to New York for Hangzhou Qianwang, the three containers were shipped to the United States, and RDD Freight released the cargo to the consignee without obtaining the original bills of lading for the cargo or permission from Hangzhou Qianwang to release the goods. CApp at 4, 8, 12, 14. The third

element is therefore also demonstrated as the conduct relates to and is connected with receiving, handling, storing, and delivering property.

d. Release of Cargo Without Obtaining Original Bills of Lading was Unjust and Unreasonable

There is no disagreement that RDD Freight released the shipments without obtaining original bills of lading from the consignee or permission from Hangzhou Qianwang. CBrief at 2; RBrief at 2. Similarly, in *Bimsha*, the NVOCC, Chief Cargo, was found to have violated section 41102(c) of the Shipping Act when it released shipper Bimsha's cargo to the notify party without requiring the presentation of original bills of lading three times in three months. *Bimsha Int'l v. Chief Cargo Services, Inc.*, 32 S.R.R. 353 (ALJ 2011), *aff'd* 32 S.R.R. 1861 (FMC 2013) ("FMC *Bimsha*"), *aff'd sub nom. Chief Cargo Serv. v. Federal Maritime Commission*, 586 Fed. Appx. 730 (2nd Cir. 2014) ("2nd Cir. *Bimsha*").

RDD Freight explains that the shipments were released because RDD Freight's employee was "defrauded and misled" and that the employee acted "in a good faith and bona fide effort to save the \$450.00 per day demurrage for the said Consignee." RBrief at 2. The evidence includes the following statement from an RDD Freight employee about why the containers were released:

Please find attached e-mails that pertain to correspondence between RDD & S.W.A.K KIDS Inc. to prove the consignee begged us to release. Above Cargo was released because Victor of S.W.A.K Indicated he had spoken with Shipper regarding payment. Victor also mentioned that he had taken care of payment with shipper and had known them for over 15 years and tricked me into thinking and believed that he was trust worthy base on previous shipment never missed payment to us, and he confirmed it will be no problem in releasing cargo. I also threatened force over the phone from him by shouted and yelled to get his cargo released from terminal so they wouldn't have to pay approximately \$450 per day in demurrage charges. I released a container on three different occasions based on above. Victor created the problem with his words, and lies that he did contacted and cleared with shipper. When I mentioned victor over the phone to clear with his shipper he shout back to me that (this is not your problem just released the cargo because I sent you money already) that's the reason why I released cargo to him. And later I found out he did not get the telex released because he failed to make the payment to shipper.

RApp at 16 (Exhibit 6); *see also* RApp at 14 (Exhibit 5).

In this case, Respondent has not submitted any evidence that it established regulations or practices regarding delivering and releasing cargo. If Respondent had such regulations or practices, they were not observed or enforced. RDD Freight's employee accepted the statement of the consignee demanding the release the cargo without confirming with Hangzhou Qianwang

or requiring original bills of lading. There is no mention in the employee's statement of any corporate regulations or practices to ensure proper delivery of cargo. *See* RApp at 16 (Exhibit 6).

For three separate shipments, RDD Freight released Hangzhou Qianwang's cargo to the consignee without obtaining the original bills of lading for the cargo from the consignee or permission from Hangzhou Qianwang to do so. Accordingly, the evidence supports a finding that Respondent failed to establish, observe, and enforce just and reasonable regulations and practices when it released Hangzhou Qianwang's cargo to the consignee without obtaining the original bills of lading from the consignee, the fourth required element under the interpretive rule.

e. Release of Cargo Without Obtaining Original Bills of Lading was the Proximate Cause of Loss

Hangzhou Qianwang states that it would not have agreed to release the goods to SWAK Kids before receiving full payment for the cargo and asserts that because RDD Freight released the cargo to consignee SWAK Kids without requiring presentation of original bills of lading, Hangzhou Qianwang was not paid the \$134,207.70 owed to it by SWAK Kids. CApp at 18; RFF at 2. Hangzhou Qianwang has established that RDD Freight's release of the cargo to SWAK Kids without obtaining the original bills of lading for the cargo and Hangzhou Qianwang's consent was the proximate cause of the loss claimed by Hangzhou Qianwang, so this element is met.

The loss suffered by Hangzhou Qianwang is reduced by a settlement agreement filed in a court in China. The parties agree that RDD Freight paid Hangzhou Qianwang \$61,704 as part of that settlement. CApp at 21-22; RApp at 19-23 (Exhibit 7). Although the settlement agreement states that it resolves all disputes, it does not appear to explicitly mention this proceeding or Shipping Act violations. It is therefore not clear whether the settlement was meant to resolve this proceeding. Moreover, the courts in China would have jurisdiction to interpret the settlement agreement filed in their court. Settlement agreements resolving Shipping Act complaints must be reviewed and approved by the Commission. *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978). The court in China does not have jurisdiction to approve Shipping Act settlement agreements. Accordingly, there is not sufficient evidence to support RDD Freight's assertion that the Chinese settlement agreement terminates Hangzhou Qianwang's claim here, although the settlement payment reduces the amount of the loss.

However, because Hangzhou Qianwang fails to demonstrate all of the interpretive rules' required elements for successfully establishing a section 41102(c) claim for reparations, Hangzhou Qianwang's claim for reparations must be denied and dismissed. After successfully presenting his claim initially, in reliance on Commission caselaw which was nearly identical to this fact pattern, the outcome has changed due to the Commission's interpretive rule issued after this claim was filed and after Complainant prevailed in the initial decision.

2. Cease and Desist Order

Hangzhou Qianwang also seeks a cease and desist order. The Commission may issue a cease and desist order when a respondent has been found to have violated the Shipping Act. *Exclusive Tug Franchises*, 29 S.R.R. at 719-20; *Pittston Stevedoring Corp. v. New Haven Terminal, Inc.*, 13 F.M.C. 33, 34 (FMC 1969). “[I]mposition of a cease and desist order normally requires a showing that unlawful conduct is ongoing or likely to resume.” *In Re: Vehicle Carrier Services*, Docket No 16-01, Memorandum Opinion and Order at 46-47 (FMC Oct. 21, 2019) (quoting *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 32 S.R.R. 1185, 1190 n.8 (FMC 2013)). In *Bimsha*, a cease and desist order was issued under circumstances similar to this case. *2nd Cir. Bimsha*, 586 Fed. Appx. at 733 (rejecting “Chief Cargo’s challenge to the cease-and-desist order on the merits.”).

The Commission’s new Rule 545.4 states that the five elements discussed above must be demonstrated in order to “establish a successful claim for reparations.” 83 FR 64480. Normally, the failure to establish entitlement to receive reparations would not automatically bar a complainant from obtaining a cease and desist order. However, the Commission states in the discussion of the interpretive rule that the rule addresses the requirements “to violate section 41102(c).” *Compare* 46 C.F.R. § 545.4 (“46 U.S.C. 41102(c) is interpreted to require the following elements in order *to establish a successful claim for reparations*”) with Final Rule, 83 FR at 64479 (the “interpretive rule clarifies that in order *to violate section 41102(c)* a regulated entity must engage in an unjust or unreasonable practice or regulation on a normal, customary and continuous basis”) (emphasis added).

Here, there is no evidence that Respondents are continuing to release cargo without obtaining original bills of lading or consent of the shipper. Therefore, Complainant has not demonstrated that a cease and desist order would be appropriate under these facts. Accordingly, Hangzhou Qianwang’s request for a cease and desist order against RDD Freight is denied.

3. The Evidence Does Not Establish Respondent’s Counterclaim of Fraud, Collusion, and Conspiracy

RDD Freight’s answer includes a counterclaim that “Complainant has conspired with its counterparts in a scheme to defraud the Respondent out of monies bonded with the FMC.” Answer at 3. In its brief, RDD Freight asserts that “RDD has counterclaimed that the Complainant had conspired with the said consignee to make RDD pay out of its surety bonds.” RBrief at 2. Pursuant to Commission rules, “a respondent may include in the answer a counterclaim against the complainant. . . . A counterclaim . . . must allege and be limited to violations of the Shipping Act within the jurisdiction of the Commission.” 46 C.F.R. § 502.62(b)(4). It is not clear which Shipping Act provision Respondent believes was violated and the counterclaim could be dismissed on that basis alone.

RDD Freight relies on two facts to support its argument that “Complainant has colluded with SWAK KIDS to extract monies from RDD” and its counterclaim that Complainant

“conspired with the said consignee to make RDD pay out of its surety bonds.” RBrief at 2. Complainant did not file a reply brief and as such did not directly contest Respondent’s allegations. However, as explained below, the evidence does not support Respondent’s legal conclusion.

First, RDD Freight asserts that “Complainant never tried to collect the said sum of money from the Consignee SWAK KIDS, nor to even contact them to collect the same.” RBrief at 2. Assuming this allegation is true, there may be legitimate reasons that the Complainant would not pursue a claim against the consignee, for example, Complainant may have determined that collecting damages from the consignee would be unlikely.

In addition, the evidence shows that Hangzhou Qianwang did speak with the consignee. An email from the shipper, Echo, on November 22, 2016, states “I call the buyer today he said he need 18 months to pay off it, it’s really crazy, it kill all my business.” CApp at 17. An email from RDD Freight on November 28, 2016, indicates that it was RDD Freight who proposed having Hangzhou Qianwang file a lawsuit against it so that RDD Freight could seek damages from the consignee. RDD Freight stated:

Today, we talked to the shipper, ECHO and explained to him our sincere apology for this mistake of the release of those containers. We will keep tracking with the consignee till all the payments are paid to the shipper. He also met the consignee as he said and he also said he got stuck and how to arrange the 2 containers that are ready to ship. We told him we did not mind to let him file the law suit against us and then we can put the consignee into the court as the defendant as well.

CApp at 18. It appears that in the third sentence, “he” refers to Echo, who is the shipper. The decision not to pursue other avenues of redress does not establish that Complainant and the consignee were colluding or in a conspiracy.

Second, RDD Freight argues that “[i]n an email letter addressed to the FMC, the digital signature contains ‘Kid Apparel Club’ which is the same as the Consignee SWAK KIDS!” RBrief at 2. RDD Freight includes a screenshot of Microsoft word properties of a document that was created on “1/7/2018” and last printed on “6/28/17.” It is not clear what document is involved and what factors impact the properties listed. For example, the last printed date occurs prior to the content created date. It is possible that rather than creating brand new documents, old documents were modified so that nothing more than the document properties remained. This screenshot of properties is not found to be reliable evidence of who actually wrote the letter at issue. As such, it is not sufficient to support a finding of fraud, collusion, or conspiracy.

Respondent has the burden of proof to establish the counterclaim. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 33 S.R.R. 821, 855 (FMC 2014). As discussed above, however, the evidence does not support RDD Freight’s allegation that its employee was defrauded nor that there is a conspiracy between Hangzhou Qianwang and SWAK Kids. The evidence cited by Respondent to support its counterclaim – that Complainant did not

file a claim against SWAK Kids and that a letter from Complainant showed document properties that could be related to SWAK Kids – are not sufficient to support a fraud or Shipping Act violation. Accordingly, RDD Freight’s counterclaim is dismissed both for lacking factual support and for not establishing a violation of the Shipping Act.

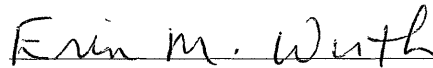
IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that Hangzhou Qianwang did not establish that RDD Freight International Inc. violated the Shipping Act, 46 U.S.C. § 41102(c), it is hereby,

ORDERED that Hangzhou Qianwang Dress Co., Ltd.’s complaint against RDD Freight International Inc. be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.


Erin M. Wirth
Chief Administrative Law Judge